



INDIAN LAW & DEALMAKING · 2 OCTOBER 2026

Five moves shaping the board now.

- › Supreme Court shields insolvency proceedings from flawed filings
- › SEBI mandates standardized risk alerts on broker apps
- › Delhi High Court denies bail in UAPA conspiracy case
- › Omara Ventures files prospectus for SME public issue
- › SEBI reprimands Austere Systems over delayed tribunal disclosure

SWIPE →



INSOLVENCY · SUPREME COURT

01 / 05

Supreme Court preserves insolvency process despite initial fraud

On September 30, 2026, the Supreme Court ruled in Nitin Garg that CIRP admitted under Section 9 does not automatically collapse due to alleged initial fraud. The bench required the adjudicating authority to consult the resolution professional and committee of creditors before taking terminating actions.

THE READ

The decision reinforces process stability by prioritizing collective creditor interests over threshold filing flaws. Litigants cannot weaponize alleged initial fraudulent filings to derail ongoing insolvency resolution frameworks.



SEBI mandates standardized risk messages across trading apps

On October 1, 2026, SEBI launched Project Jagrook directing all registered stock brokers to display standardized investor awareness alerts. The binding circular mandates phased implementation across retail websites and mobile trading applications.

THE READ

The regulatory intervention shifts responsibility onto intermediaries to actively mitigate retail investor risk. Compliance teams must integrate standardized real-time pop-ups into user interface architectures.



LITIGATION · DELHI HIGH COURT

03 / 05

Delhi High Court rejects bail in UAPA conspiracy proceeding

On September 30, 2026, the High Court of Delhi refused bail to Sharjeel Imam and Umar Khalid in a UAPA prosecution. The court held that prolonged pre-trial incarceration does not breach constitutional bounds where central conspiracy roles exist.

THE READ

The ruling underscores a high judicial bar for bail in national security prosecutions involving structural leadership allegations. Strategic defense counsel face strict limits when relying solely on extended detention periods.



Omara Ventures submits prospectus for SME public offering

On September 30, 2026, Omara Ventures India Limited submitted its Red Herring Prospectus for a 41.99 crore rupee public issue on BSE SME. The offering features a price band of 296 to 311 rupees per share.

THE READ

The filing demonstrates continued equity capital market appetite for specialized middle-market retail enterprises. Issuers are leveraging dedicated SME platforms to optimize capital structure and expand footprint.



ENFORCEMENT · SEBI

05 / 05

SEBI issues administrative warning over delayed NCLAT disclosure

On October 1, 2026, SEBI issued an administrative warning-cum-advisory to Austere Systems Limited for disclosure non-compliance. The firm failed to report a material NCLAT order within mandated 24-hour LODR timelines.

THE READ

The regulatory warning emphasizes zero-tolerance for delayed disclosures regarding material tribunal litigation. Listed issuers face heightened enforcement risk if ongoing litigation outcomes are not promptly communicated.



THE THROUGH-LINE

Across insolvency, capital markets, and corporate governance, regulators and courts are enforcing process integrity and strict transparency standards. Adjudicatory bodies are prioritizing systemic continuity for creditors while penalizing operational and disclosure omissions. Senior legal officers and boards must strengthen ongoing compliance mechanisms to navigate heightened regulatory oversight.





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